# Market Functionality Index

**February 2025**

**WFP Lebanon -**
**Research, Assessment and Monitoring**

WFP
World Food Programme

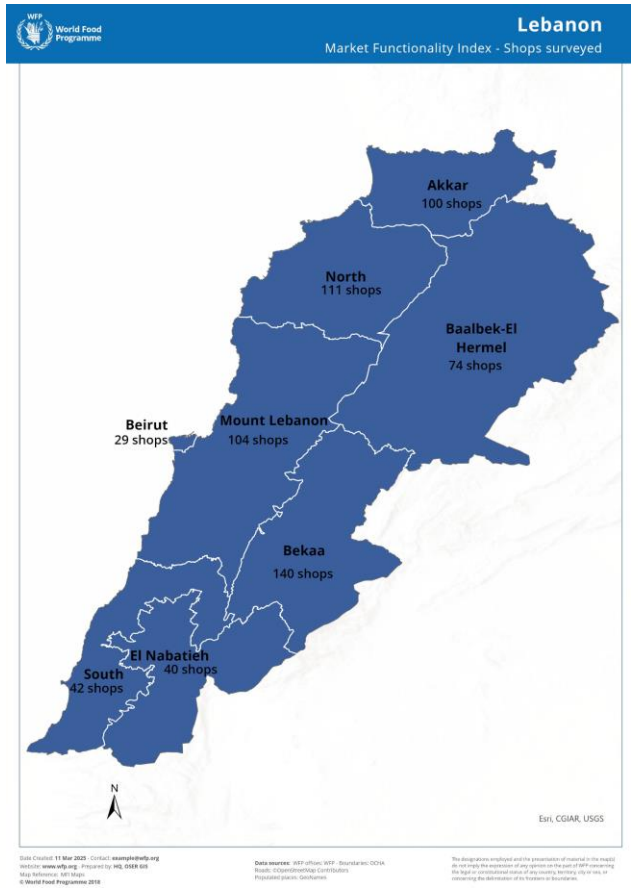
SAVING LIVES
CHANGING LIVES

# Market Functionality Index (MFI) - Methodology

## WFP's Market Functionality Index (MFI)

- WFP's MFI is a quantitative measure of the functioning of markets based on a trader survey. It is designed to provide insights into the feasibility of market-based interventions. The MFI assigns the marketplace a score across different dimensions between zero (low functionality) and ten (high functionality) that can be interpreted consistently across time and locations.
- The reduced version the index is composed of four dimensions:
  - The **assortment dimension** indicates the variety of essential goods can be purchased in a marketplace.
  - The **availability dimension** tracks any scarcity or risk of runout of these items.
  - The **price dimension** assesses price trends and predictability.
  - The **resilience dimension** evaluates both shock responsiveness through lead time of deliveries and vulnerability of supply chains through stock coverage
- WFP conducted a nationwide survey of 640 retailers between February 1 and February 28, 2025. This is the tenth MFI round since April 2024 and the fourth at full scale.
- The survey is fully representative on a governorate level and is reflective of trends on a district level.

**Shops surveyed – February 2025**

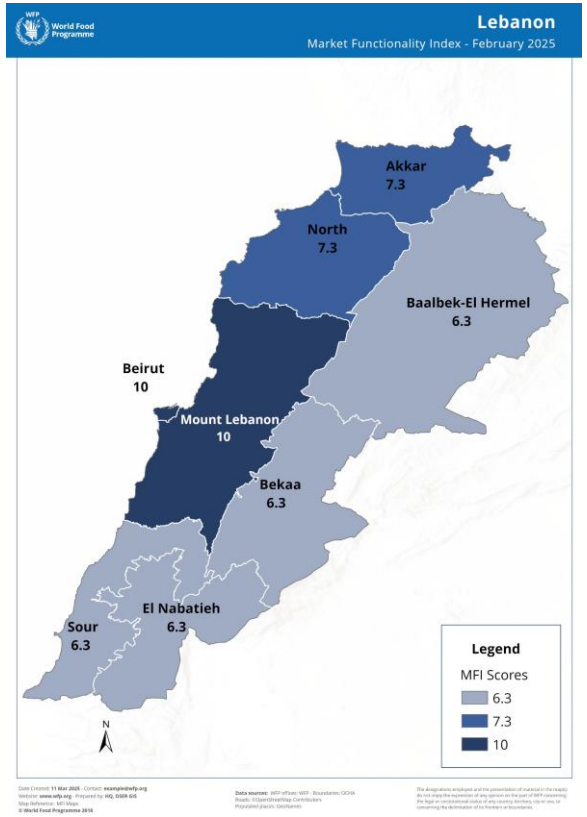


# Market Functionality Index (MFI)

**KEY FINDINGS**

- Market functionality saw varying developments in February 2025.
- Beirut and Mount Lebanon reached an MFI score of 10 in February 2025, reflecting fully normal market conditions in these governorates.
- Despite improvements in December 2024 and January 2025, South, Bekaa, and Baalbek-El Hermel saw a slight decline in MFI scores from 7.3 to January 2025 to 6.3 in February 2025, linked to price fluctuations in non-cereal food items that were not reported in previous rounds.
- The most affected governorate, El Nabatieh, continued its gradual recovery, increasing from 1.1 in November 2024 to 6.3 in both January and February 2025.
- Akkar and North maintained market stability with an MFI score of 7.3, the same level since December 2024.

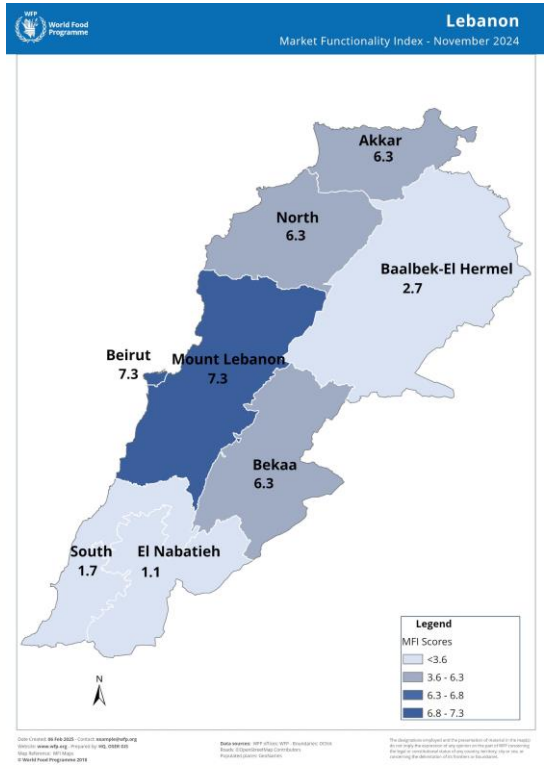
**MFI Scores**
**February 2025**



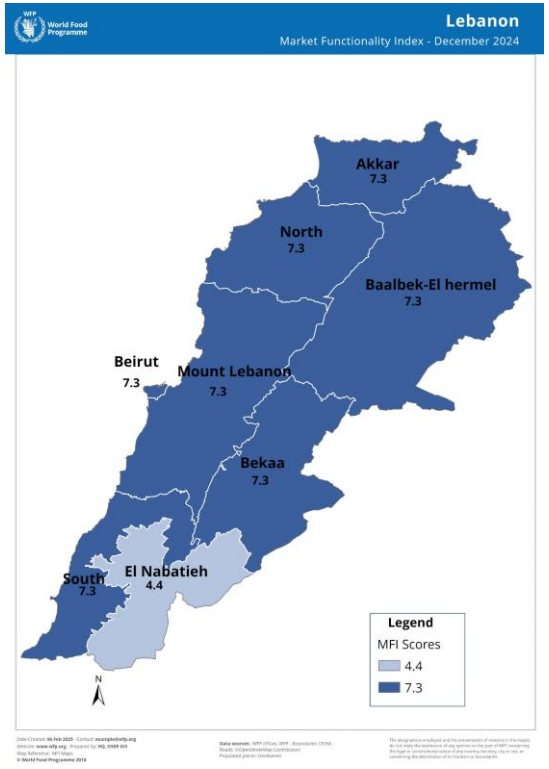
# Market Functionality Index (MFI) – Comparison with Previous Rounds

## MFI Scores

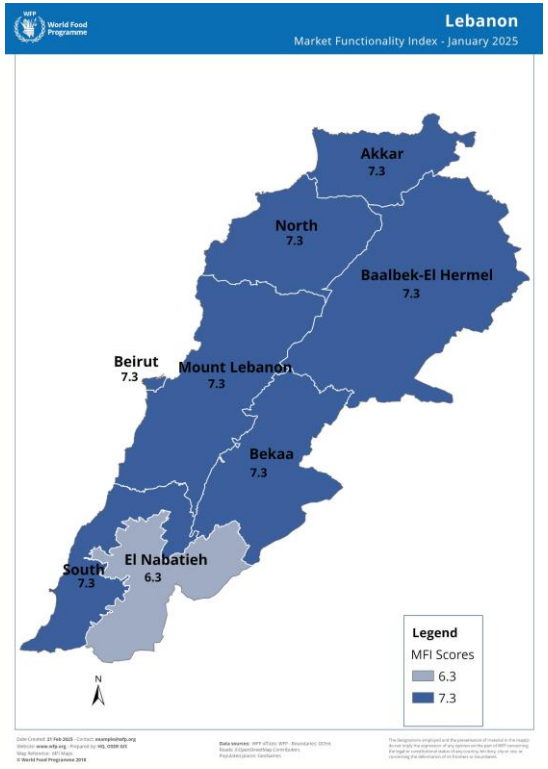
### November 2024



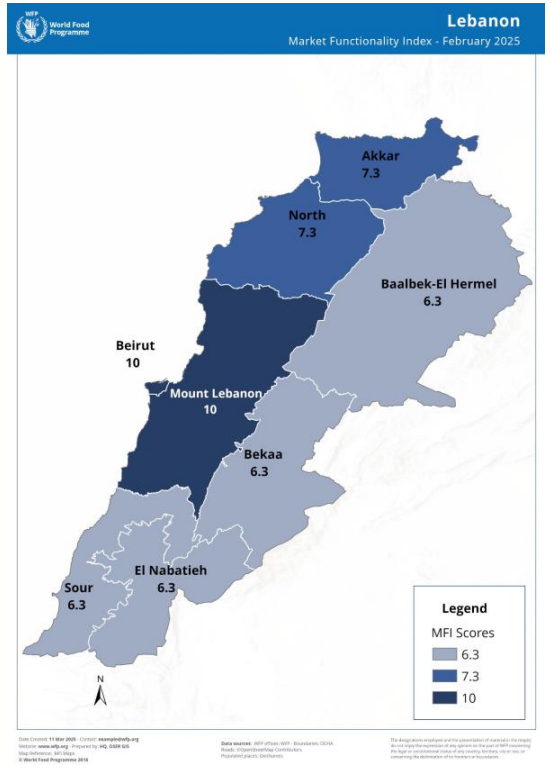

### December 2024




### January 2025



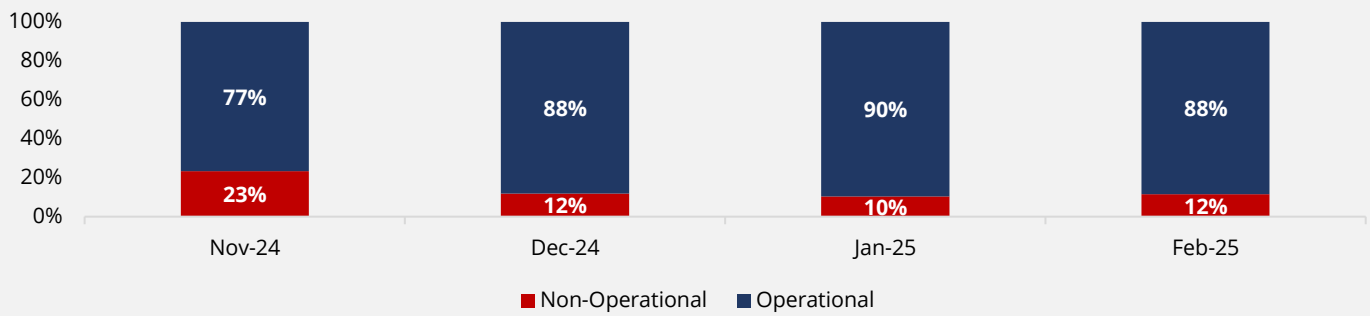

### February 2025



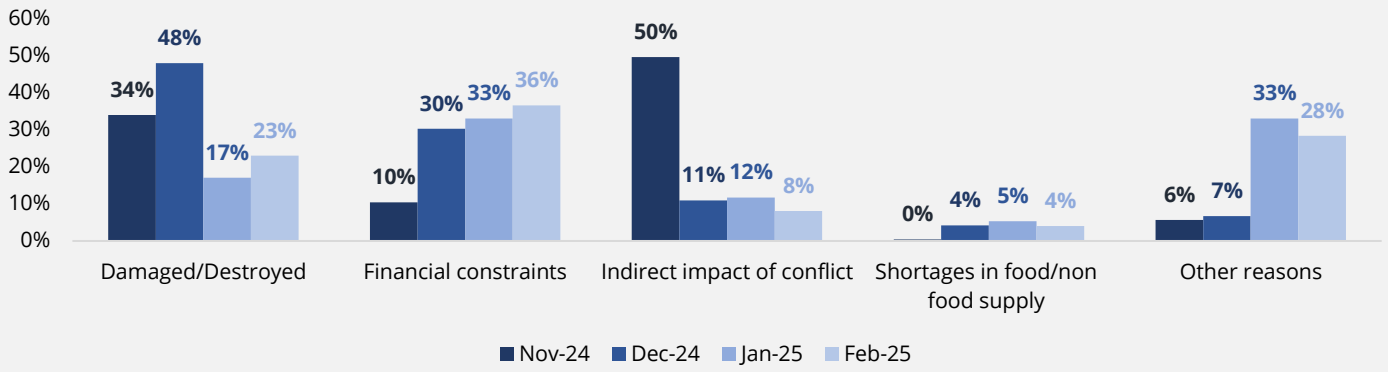
# Operational Shops

- The percentage of operational shops remained stable at 88 percent in February 2025, after improving from 77 percent since November 2024.
- Financial constraints continued to be the main driver of non-operationality since December 2024, with 36 percent of non-operational shops mentioning limited cash flow, fluctuating costs, and/or declining demand as key reasons for remaining closed in February 2025, up from 30 percent in December 2024 and 10 percent in November 2024.
- Shop damage and/or destruction remained an important factor of non-operationality, especially in conflict-affected areas, with 23 percent of non-operational shops reporting physical damage as a reason to remain closed in February 2025, down from 48 percent in December 2024.
- The indirect impact of the conflict as a key factor of non-operationality, such as the general security situation of the area, lack of customers due to displacement, or inaccessible locations, has decreased to 8 percent in February 2025, down from 50 percent in November 2024.
- Other reasons, which include changing business activity, selling shops, or retiring from work, have increased in proportion to other factors, reaching 28 percent in February 2025, up from 6 to 7 percent in November 2024 and December 2024, among non-operational shops.

**Operational Status of surveyed shops**



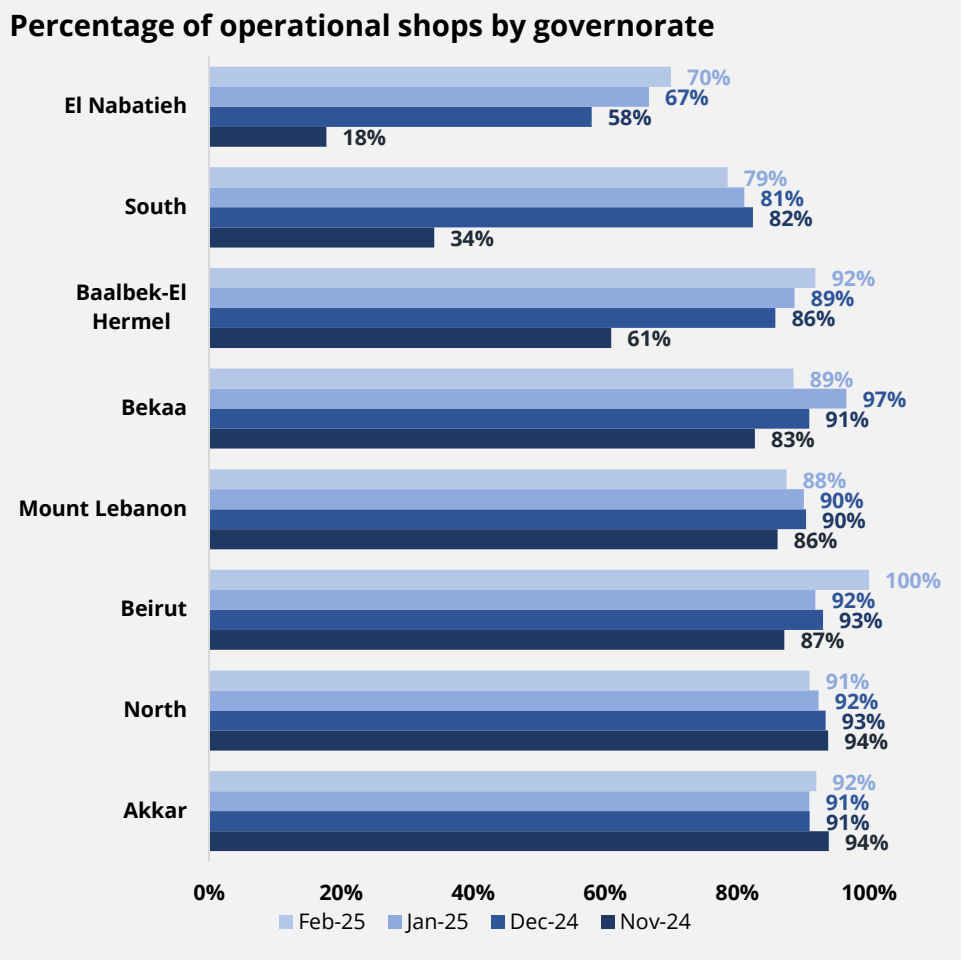

**Key factors of non-operationality**




Financial constraints: Liquidity shortage affecting business continuity and capacity to replenish stocks
Indirect impact of conflict: Inaccessible location, risk of damage/destruction, or no customers in the region due to displacement
Other reasons include: selling the shop, opening another shop, switching to another business type or location, among others.

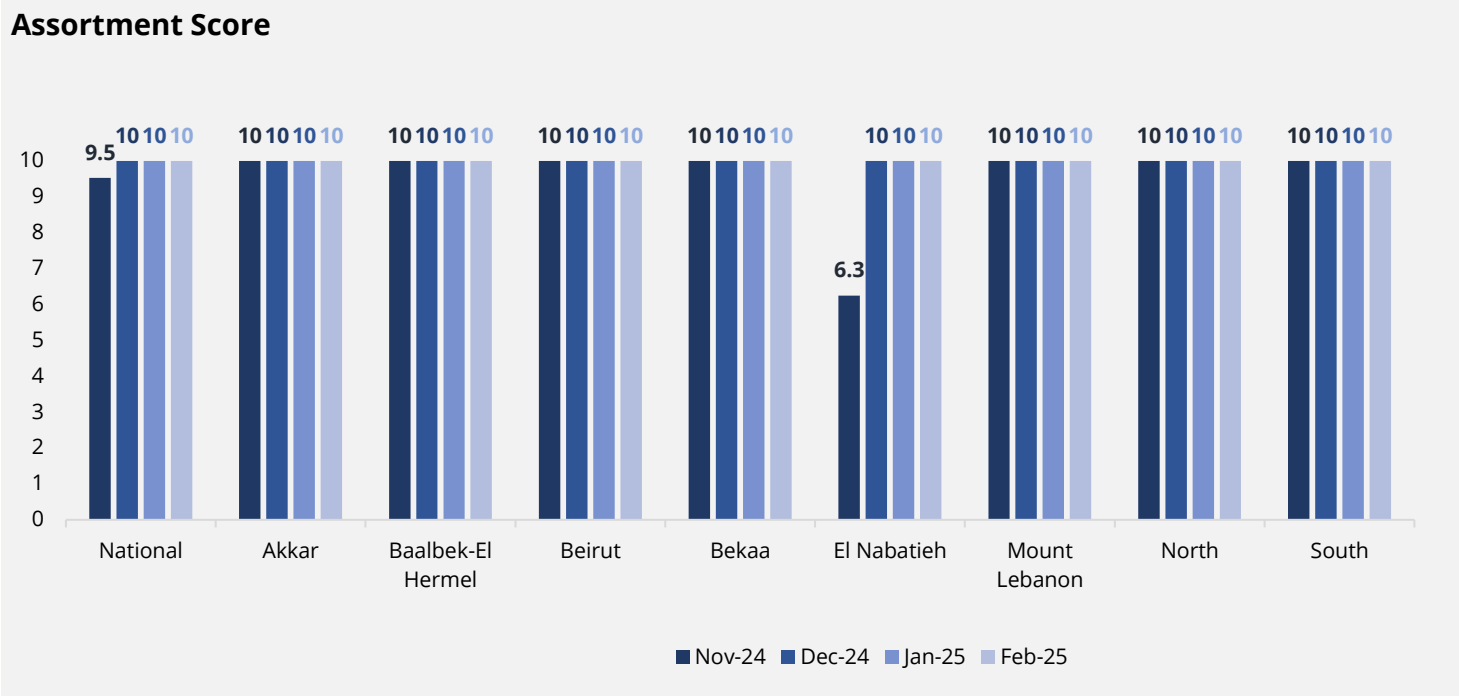
# Operational Shops- Governorate

- Percentage of operational shops continued to improve in conflict-affected governorates despite a slight decrease in the South since December 2024. Operationality reached 70 percent in El Nabatieh, 79 percent in the South, and 92 percent in Baalbek-El Hermel, up from 18 percent, 34 percent, and 61 percent, respectively, in November 2024.
- Operationality in other governorates remained stable at high levels with some fluctuations. Bekaa saw a notable monthly drop in February 2025, with a decline from 97 percent of operational shops in January to 89 percent in February, with most non-operational shops mentioning financial constraints and management decisions to change business sectors as reasons for closure.
- Mount Lebanon and the North also reported very minor drops between January 2025 and February 2025 due to persisting financial constraints and, in the case of the district of Baabda in Mount Lebanon, the physical destruction of shops due to conflict.
- Beirut, on the other hand, registered full operationality in February 2025, up from 87 percent in November 2024.



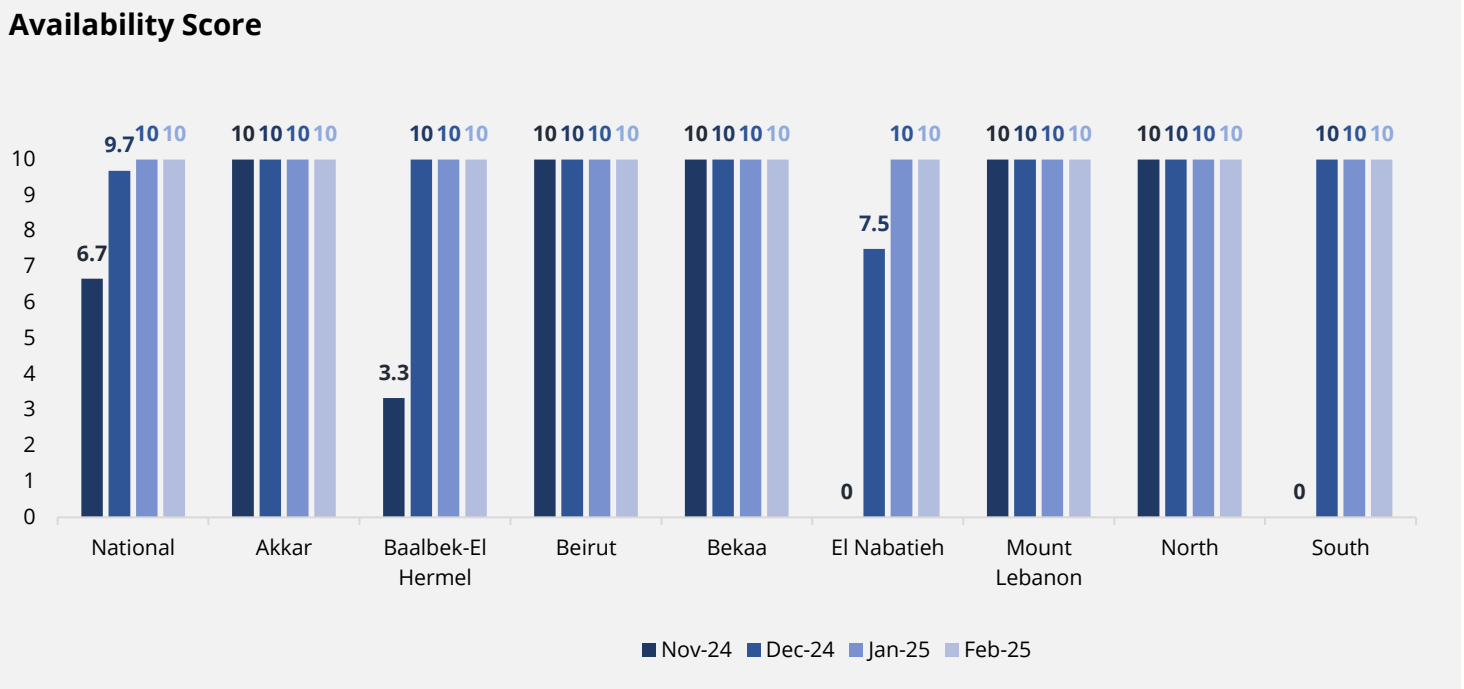
# MFI – Assortment by Governorate

- Highest scores in the assortment dimension continued to be reported, reflecting the supply of a diverse array of essential food and non-food items, in almost all governorates since full-scale surveys began in November 2024.
- Only El Nabatieh had seen a low score in assortment of items in November 2024, due to the unavailability of items related to shelter, communications and/or health (over-the-counter medicine). However, these items were back in supply starting December 2024.



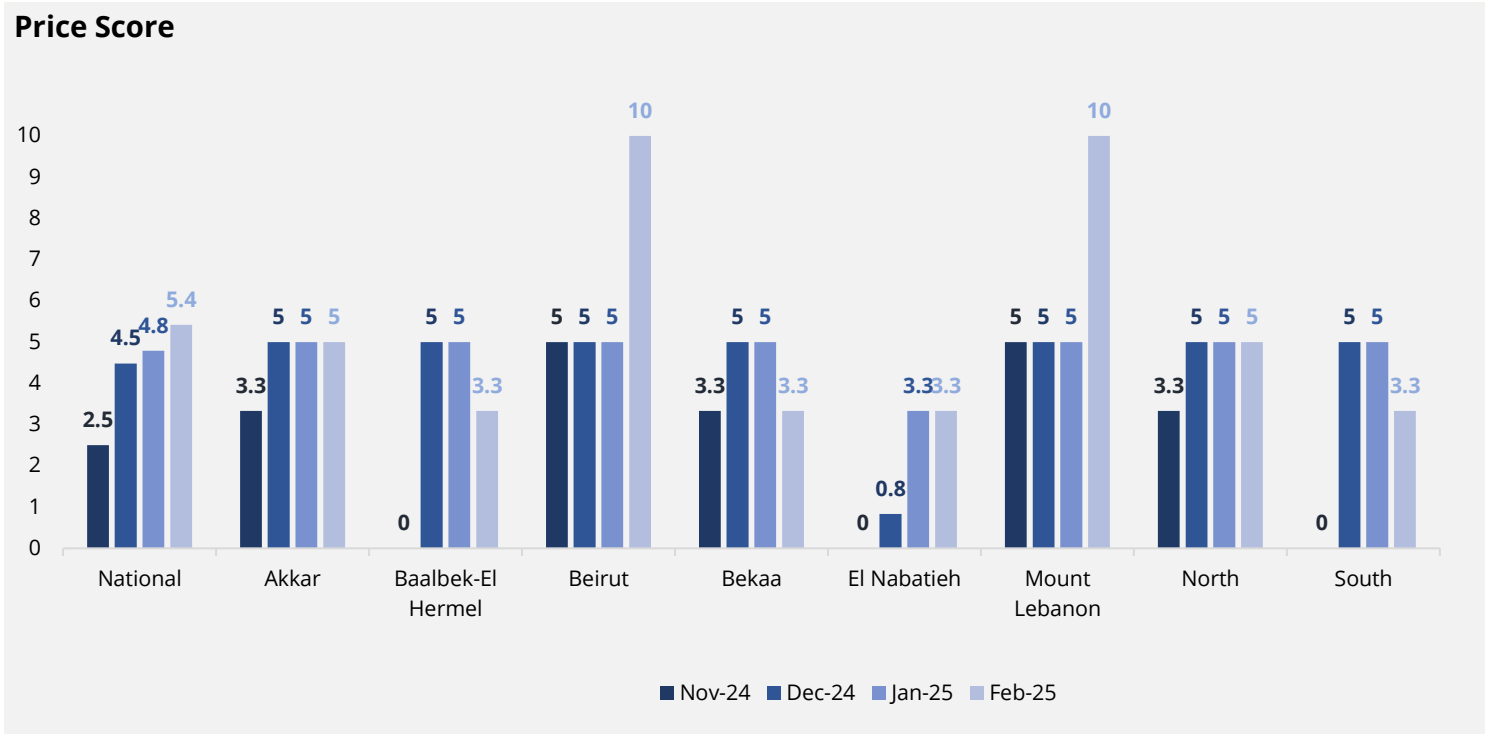
# MFI – Availability by Governorate

- Full availability score, an indicator of healthy current stock levels and replenishment capacity of essential food and non-food products, has been reported in all governorates since January 2025.
- High levels were reported throughout the analyzed period in Akkar, Beirut, Bekaa, Mount Lebanon,  and North.
- Low stock levels and/or risks of stockouts affected the availability score in El Nabatieh, South and Baalbek-El Hermel in November 2024, at the peak of the conflict. Significant improvements were registered following the ceasefire starting in December 2024.



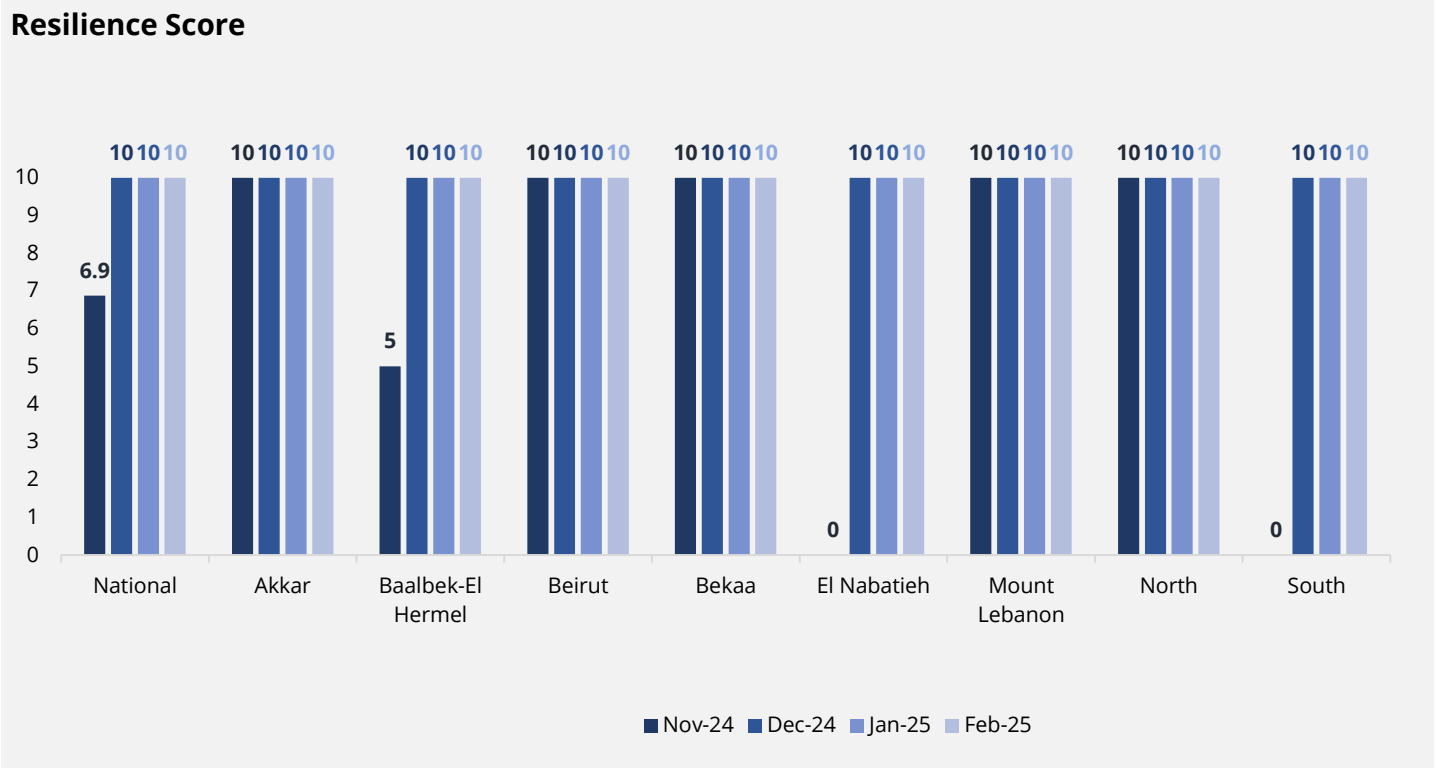
# MFI – Price by Governorate

- The governorates of Beirut and Mount Lebanon attained a maximum score of 10 in February 2025, a sign of stabilization and predictability of prices across essential product categories.
- Price unpredictability continued to negatively affect the price dimension scores in the other governorates since November 2024.
- Ongoing price fluctuations in non-cereal food products further impacted the price scores in Baalbek-El Hermel, Bekaa, South, and El Nabatieh. For the first three, this led to a slight decrease in the price score from 5 in January 2025 to 3.3 in February 2025, following a recovery between November 2024 and January 2025.



# MFI – Resilience by Governorate

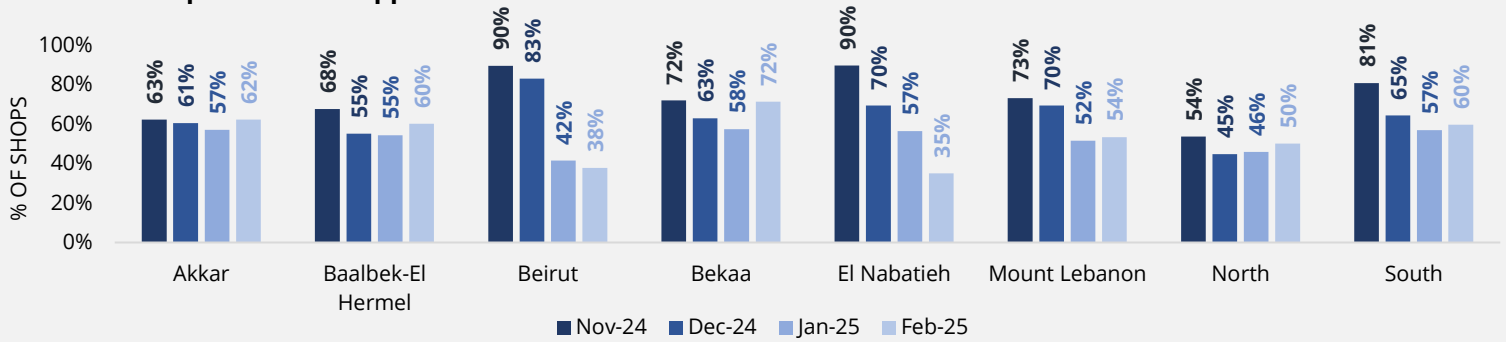
- Maximum resilience score throughout all governorates reported since December 2024, reflecting the ability of markets nationwide to maintain stable supply flows despite shocks and disruptions.
- The governorates of Akkar, Beirut, Bekaa, Mount Lebanon and North saw the highest scores in the resilience of the supply chain dimension throughout the analyzed period.
- A longer lead time for replenishment of essential items (more than one week) and limited shock absorption capacity (stocks not able to cover current demand for more than one week) reported among most shops dragged down scores in Baalbek-El Hermel, El Nabatieh and South in November 2024. These metrics, however, recovered to the highest levels from December 2024 onward.



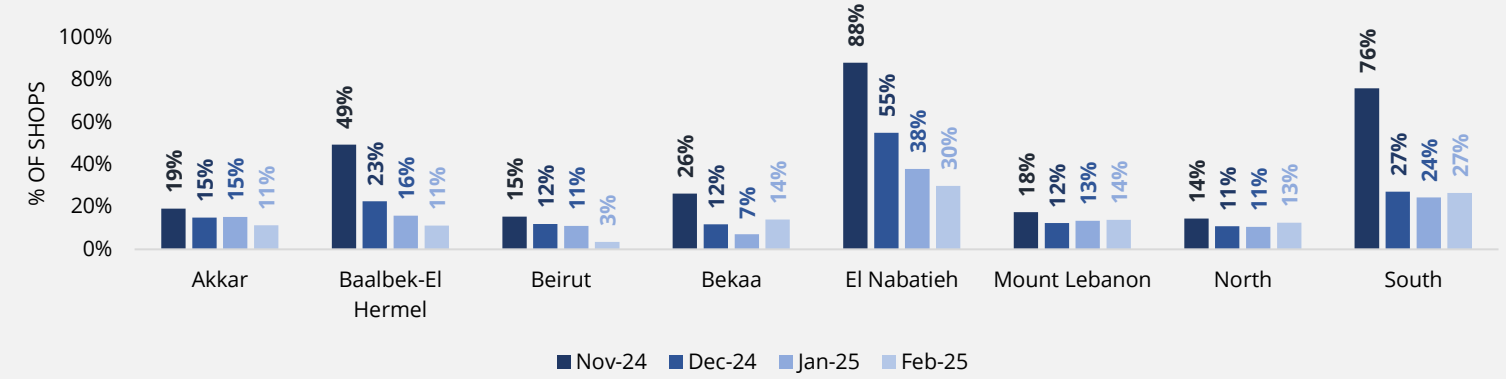
# Vulnerability of supply chains

- In February 2025, the geographic concentration of suppliers remained relatively low in Beirut (38 percent), El Nabatieh (35 percent), and Mount Lebanon (54 percent), reducing their vulnerability to localized supply chain disruptions. In contrast, and despite some improvements between November 2024 and January 2025, Bekaa (72 percent) and Baalbek-El Hermel (60 percent) continued to rely more heavily on a concentrated set of suppliers, potentially increasing their exposure to localized shocks.
- Shops in Beirut (3 percent), Baalbek-El Hermel (11 percent), and Akkar (11 percent) reported further reductions in reliance on a single supplier in February 2025, indicating greater supply chain resilience. However, South (27 percent) and El Nabatieh (30 percent) still exhibited a relatively higher single-supplier dependence, making them more susceptible to supply shortages if key suppliers face disruptions.

**Localized disruption risks - Suppliers located within the same area**




**Dependence risks - Reliance on a single supplier**

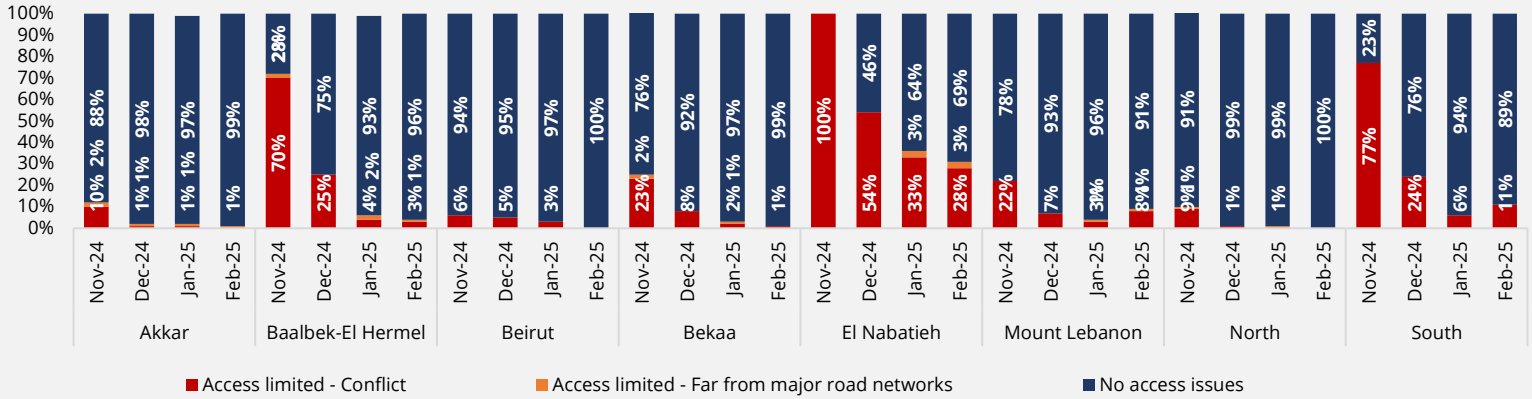



** Prevalence of suppliers' geographic concentration and reliance was estimated using the weighted average across product categories*

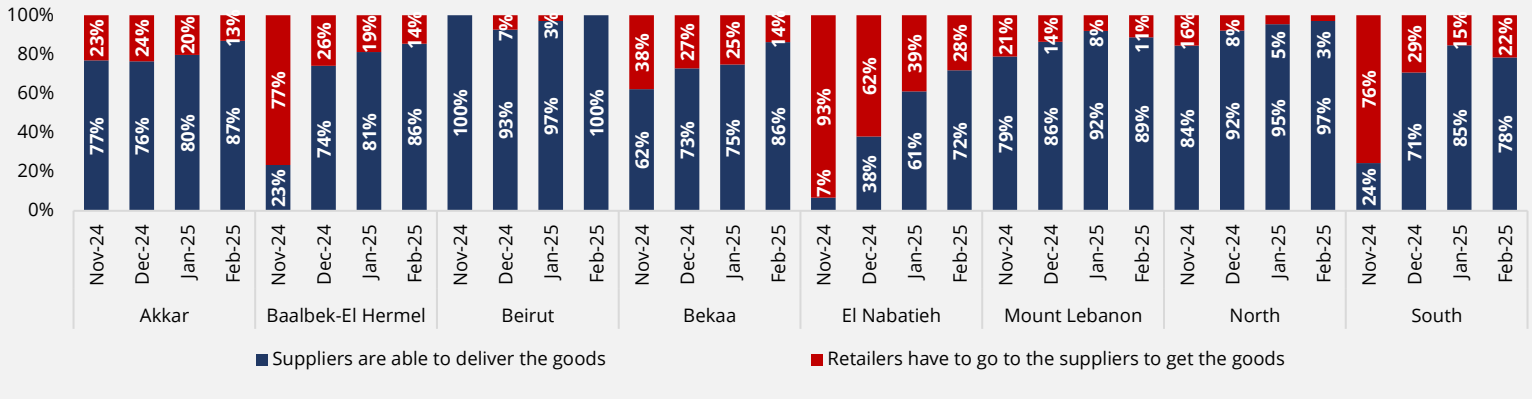
# Market Access

- Market access for retailers and supplier delivery capacity continued to improve across most governorates. By February 2025, shops reporting unrestricted market access reached 96 percent in Baalbek-El Hermel, 89 percent percent in South, and 69 percent in El Nabatieh, reflecting further gains since January despite persisting challenges.
- The percentage of suppliers able to deliver goods increased in all governorates, with notable improvements in Akkar (87 percent), Baalbek-El Hermel (86 percent), and Bekaa (86 percent) compared to previous months. Beirut and North reached 100 percent and 97 percent, respectively, indicating near-complete supplier reliability.
- 72 percent of suppliers in El Nabatieh were able to deliver goods in February, an increase from 61 percent in January and 38 percent in December 2024. However, 28 percent of retailers in the governorate still had to go to suppliers to obtain goods, signalling ongoing but reduced logistical challenges.
- The South notably saw a monthly increase in both limited access due to conflict (11 percent) and supplier inability to deliver essential goods (22 percent) in February 2025, a result of the situation along the Southern border as the ceasefire agreement drew to a close in mid-February.

**Market Access**



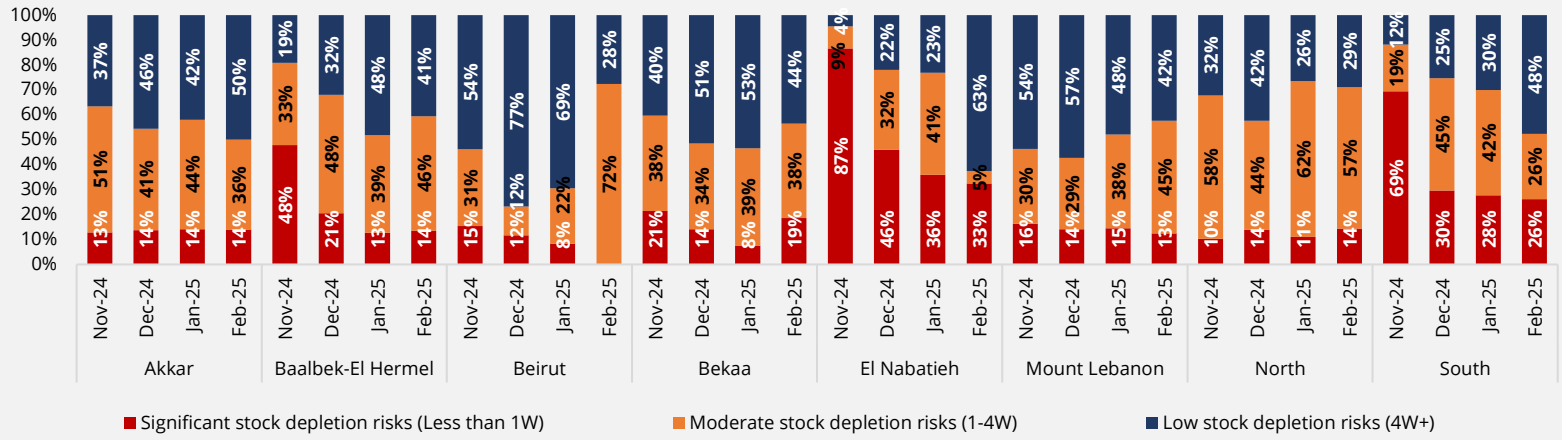

**Supplier capacity to deliver the goods**



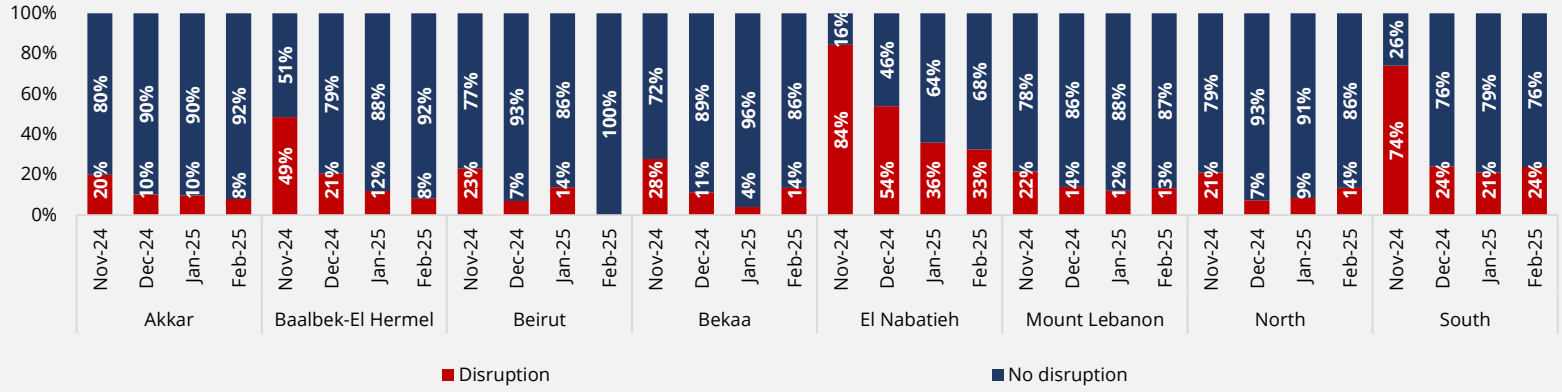
# Stock Coverage and Food Disruption

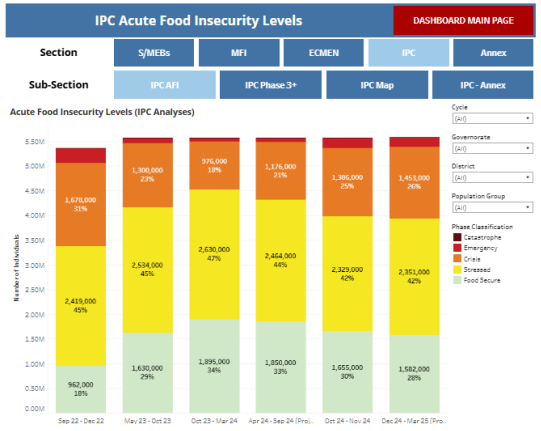
- Despite improvements in stock replenishments since November 2024, the prevalence of significant stock depletion risks for February 2025 remained notable in El Nabatieh (33 percent), South (26 percent) and Bekaa (19 percent). A noteworthy prevalence of 13-14 percent was also reported in Akkar, Baalbek-El Hermel, Mount Lebanon and North.
- Moreover, moderate stock depletion risks remained high in Beirut (72 percent), Mount Lebanon (45 percent) and the North (57 percent).
- Reported disruptions in receiving essential food products continued to decrease across all governorates. Most notably, Beirut (100 percent) reported full supply stability, while Baalbek-El Hermel (92 percent) and Akkar (92 percent) also saw marked improvements since November 2024.
- While disruptions have significantly decreased since November 2024, El Nabatieh (33 percent) and South (24 percent) still reported the highest levels of supply chain disruptions, followed by Bekaa (14 percent), North (14 percent), and Mount Lebanon (13 percent).

**Stock coverage and depletion risks**

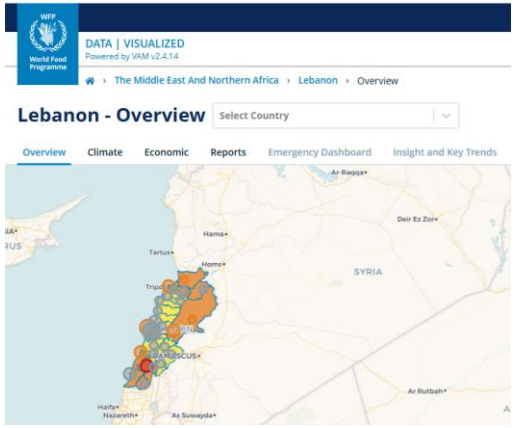



**Disruption in the supply of essential food products**






[Lebanon Food Security & Market Analysis Dashboard]




[WFP DataViz - Lebanon]




[WFP DataViz - Reports Explorer]

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